

CASE STUDY: SHARON AND BARBARA

Sharon is a high-income-producing health-care specialist. She recently asked us, “How is it that I make so much in terms of income but accumulate so little in terms of wealth?”

Last year Sharon’s household had a realized total annual income of approximately \$220,000 (see [Table 2-3](#)), which places her household in the top 1 percent of all households in America. Sharon’s household has a net worth of approximately \$370,000. While Sharon’s income is higher than 99 percent of the other households in America, her net worth is far below what it should be. Given her age, fifty-one, and her income, \$220,000, Sharon should, according to the wealth equation (expected net worth = one-tenth age $\times$ income), be worth approximately \$1,122,000.

Why is Sharon’s level of accumulated wealth far below the norm? Because her realized, or taxable, income is too high. Last year she paid \$69,440 in federal tax on her \$220,000 income. This is the equivalent of 18.8 percent of her total wealth. Yogi Berra might say, “Sharon, you can’t be wealthy. Your income is too high.”

TABLE 2-3
CONTRASTS AMONG AMERICAN TAXPAYERS